

L-900. INSTRUCTIONS TO OFFERORS – INITIAL SOURCE SELECTION, CAT-F SYSTEM DESIGN

I. Introduction and Overview

This acquisition will be a source selection comprised of an Initial Source Selection that will result in up to two (2) offerors with a Final Downselect to at least one (1) contractor following Critical Design Review (CDR), however, the Government may award to only one offeror should that be in the best interest of the Government. The Initial Source Selection will result in the award for CAT-F System Design. In the Initial Source Selection, the Government will conduct a full and open competition to narrow the competitive field down to no more than two (2) contractors that will execute CAT-F System Design and proceed to the Final Downselect. The Initial Source Selection instructions and evaluation criteria can be found in Section L-900, Instructions to Offerors - Initial Source Selection, CAT-F System Design and Section M-900, Evaluation Basis for Award - Initial Source Selection, CAT-F System Design. The Contracts will contain options for the execution of the program beyond the basic contract. The Final Downselect source selection will determine which contractor's Option I may be exercised. It is the Government's intent to exercise the Option with one contractor, however, the Government is reserving the right to exercise the Option with both contractors. The determination of whether or not to exercise options will be based on evaluation criteria spelled out in the Section L-901, Instructions to Offerors, Final Downselect, CAT-F Engineering and Manufacturing Development (EMD), Production and Section M-901, Evaluation Basis for Award- Final Downselect, CAT-F Engineering and Manufacturing Development, Production. The successful offeror will complete EMD and may proceed to later stages of the program (Production and Sustainment). After the down select determination is made, the government does not plan to exercise any additional contract options for the unsuccessful offeror.

II. Proposal Format

A. General: The following instructions cover the preparation and submittal of the offeror's proposal for this solicitation. Offerors must follow the instructions contained herein. Offerors are cautioned that any noncompliance with the terms and conditions of the RFP may cause their proposal to be determined not eligible for award. If a joint venture arrangement exists for this acquisition, the offeror shall provide a copy of the joint venture agreement that is signed and dated by all joint venture members as part of the proposal submission. Offerors shall submit only one proposal for the CAT-F as the Government will review only one proposal per offeror. Proposals must be received by AFLCMC/ROKB, Attention: Oya Harrison, Contracting Officer, and Alexis Davis, Buyer/Contract Specialist, no later than the date and time specified in Block 9 on the face page of the RFP.

* A joint venture is defined as a contractual agreement joining together two or more parties to undertake a particular business transaction or project and is intended to exist for a limited time period. The individual entities may retain their individuality and operate under a joint venture agreement, or the joint venture creates a separate corporation, limited liability company, or membership.

B. Communications: Exchanges of source selection information after submission of the initial proposal packages between the Government and offerors will be controlled by the Contracting Officer. Email may be used to transmit such information only if the email can be sent encrypted and must include "Source Selection Information – See FAR 2.101 and 3.104" in the subject line of the email. In order to facilitate the sending and receiving of encrypted emails, offerors may use any email configured that is S/MIME compatible and configured to support encryption. Non-encrypted proposals will not be accepted. If you intend to submit your source selection information via encrypted email, you will need to contact the Buyer/Contracting Officer indicated on the face page of the solicitation prior to that first submittal in order to exchange certificates used for encryption. To ensure the process is working correctly, send a test encrypted message first (without including any source selection information). Otherwise, source selection information will be transmitted via DoD SAFE. When submitting source selection information via email, file suppression utilities, to include but not limited to zip files, will not be accepted.

The test encrypted message process is as follows:

1. The offeror shall send a digitally signed "test" e-mail message containing no proprietary or source selection information to oya.harrison.1@us.af.mil and alexis.davis.13@us.af.mil. Please clearly identify the email as a "Test email for Common Armament Tester for Fighter (CAT-F) RFP FA8533-25-R-0002".
2. The PCO will open the test e-mail and add (or update) the sender's e-mail address (and corresponding encryption certificate) to their Outlook "Contacts List".
3. The PCO will send a digitally signed reply to the sender's e-mail address.

4. The sender must open the PCO's digitally signed reply and add (or update) the PCO's e-mail address in their "Contacts List" (For Outlook users - right-click the name in the "From" box, and then click "Add to Contacts" on the shortcut menu. Shortcut menu: a menu that shows a list of commands relevant to a particular item. To display a shortcut menu, right-click an item or press shift + F10. If you already have a contact entry for this person, select "Update New Information" from this contact to the existing one).
5. When you are ready to send an encrypted email, ensure encryption is selected and include "Source Selection Information – See FAR 2.101 and 3.104" in the subject line of the email.

If an offeror's computer system cannot support encryption technology, DoD Safe at <https://safe.apps.mil> is the preferred alternative method of electronic submissions. The offeror should send an unencrypted email, including "Source Selection Information – See FAR 2.101 and 3.104" in the subject line, requesting a Drop Link for transmission purposes. When submitting source selection information via email (to include DoD SAFE), file suppression utilities, to include but not limited to .zip files, will not be accepted.

NOTE: When sending files via encrypted email, please note there is a size limit of 20MB.

NOTE: When sending files via DoD SAFE, please note there is a size limit of 8GB, as well as a 25 files number limit. Offerors shall advise the PCO and buyer of any submissions that will be outside of these limitations so that multiple DoD SAFE drop-off request links can be sent. A formal notice must be sent to the PCO and buyer for a drop off link to be sent. Drop off request/links sent to companies by the Government are only valid for 14 days. Additionally, drop off request/links are only good for one submittal per use.

If the offeror chooses not to utilize encrypted email or DoD Safe, the offeror shall send the PCO correspondence at the time that it submits the proposal stating that it accepts the risk of sending and receiving unencrypted electronic mail. When submitting source selection documentation, offerors shall contact the Contracting Officer, Oya Harrison, and/or Contracting Specialist, Alexis Davis, via email to advise of information submittal and obtain acknowledgement of receipt.

III. Volume Organization

A. General: Proposals shall be submitted to the Government in separate volumes as set forth below:

<u>VOLUME</u>	<u>PAGE LIMITS</u>	<u>NUMBER OF COPIES*</u>	<u>DESCRIPTION</u>
I	N/A	1	Completed RFP (Including RFP Attachments, Cross Reference Matrix (CRM), and copy of Joint Venture Agreement (if applicable))
II	50	1	Written Technical Proposal (Statement of Work (SOW) and Integrated Master Schedule are Attachments and are not counted towards the 50 page limit)
III	10	1	Small Business Participation
IV	N/A	1	Cost/Price Proposal

*All proposal information shall be submitted in electronic form via encrypted email or DoD SAFE. Media must be virus scanned by the offeror prior to submitting to the Government.

In addition to the page limitations set forth above, proposal volumes shall comply with the following format:

1. Each volume shall be marked with the RFP number FA8533-25-R-0002 and the offeror's name and address, and the number of the Volume, i.e. I, II, III, etc.) Proposals shall be in the English language and all monies shall be proposed in United States dollars.
2. Print shall be no smaller than a font size of 12. Paper size shall be 8 1/2" X 11," excluding any charts, graphs, drawings, diagrams, and/or supporting illustrations, spreadsheets, etc. Charts, graphs, drawings,

diagrams, and/or supporting illustrations, spreadsheets, etc. shall not be greater than 11" x 17." Margins shall be no smaller than 1 inch and each page within a volume shall be numbered consecutively. Elaborate formats or color presentations are not desired or required. In order to verify the font size and margins utilized, the offeror shall provide an electronic copy of the technical proposal in Word format.

3. The page limitation for Volume II, Written Technical Proposal is 50 pages, this does not include the SOW or IMS, as they will be attachments to the Written Technical Proposal, but does include the associated IMS rationale. The page limitation for Volume III, Small Business Participation, is 10 pages. The page limitations include any executive summaries, company introductions, cover letters, charts, graphs, drawings, diagrams, supporting illustrations, spreadsheets, etc., but excludes any cover page(s), table of contents, list of acronyms (if utilized), or attachments as specifically identified in this provision. Offerors are cautioned that any pages that exceed the page limitations shall not be read but shall be removed and retained in the contract file without being considered in the evaluation. The SOW shall not include any photos or pictures.
4. Each page containing proprietary information should be so marked.
5. Each page should contain the following legend at the bottom of each sheet:

SOURCE SELECTION INFORMATION--SEE FAR 2.101 and 3.104

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B. Volume I, Completed RFP

1. General: Volume I, Completed RFP shall consist of the completed and signed RFP, to include any amendments issued, with a cover letter delineating any exceptions taken to the RFP terms and conditions with accompanying rationale. The Government reserves the right to independently identify exceptions taken to the terms and conditions of the RFP outside of those identified in the offeror's cover letter. However, offerors are cautioned that any noncompliance with the terms and conditions of the RFP may cause their proposal to be determined not eligible for award. Offerors shall ensure that all clauses and provisions that require "fill-in" information are appropriately completed, including the proposed prices associated with the contract line items in the Schedule of the RFP.

2. Cross Reference Matrix: The offeror shall fill out the cross-reference matrix, RFP Attachment 8, indicating where in its proposal the information can be found as it relates to the RFP. The cross reference matrix will be utilized as a tool to show critical interrelationships and dependencies among the technical requirements document (Statement of Objectives (SOO), System Requirements Document (SRD), the Contract Line Item Number (CLIN), the Contract Data Requirements List (CDRL), Section L-900 (Instructions to Offerors), and Section M-900 (Evaluation Basis for Award). The cross-reference matrix will help an offeror ensure it has responded to all the evaluation criteria and proposal submittal requirements identified in the solicitation. If the matrix conflicts with any other requirement, direction, or provision of this solicitation, the other reference shall take precedence over the matrix. Additionally, Section M-900 references in the matrix are for informational purposes only, and the Government shall be obligated to evaluate proposals solely in conformance with Section M-900 of the solicitation.

3. Small Business Subcontracting Plan: The small business subcontracting plan required by FAR 52.219-9, as supplemented by the DFARS and DAFFARS, shall be submitted by large business offerors. The plan shall set forth the offeror's plan for subcontracting with small businesses to the maximum extent practicable, in accordance with FAR 52.219-9 as supplemented by the DFARS and DAFFARS. The small business subcontracting plan shall include the information required by FAR 19.7, DFARS 219.7, DAFFARS 5319.7, and all associated clauses within this RFP. NOTE: The small business subcontracting plan is required by large business offerors only.

4. Supplier Performance Risk System: If available, offerors shall have a current assessment in the Supplier Performance Risk System (SPRS) as required by DFARS 252.204-7019 and DFARS 252.204-7020. An assessment date is considered current within the last three years of this solicitation issuance. The Government will consider the offeror's risk assessment for item, price, and supplier risk, as applicable. Offerors are able to access their risk assessments by following the access instructions in the SPRS users guide available at <https://www.sprs.csd.disa.mil/reference.htm>.

C. Volume II, Written Technical Proposal

1. General: The written technical proposal shall be clear, concise, and include all the information required by this provision in sufficient detail for effective evaluation. The proposal shall not simply rephrase or restate the

Government's requirements but rather shall provide convincing rationale to address how the offeror intends to meet these requirements. Offerors shall assume the Government has no prior knowledge of their capabilities, work processes, facilities, and experience and will base its evaluation on the information presented in the offeror's technical proposal.

2. Format and Specific Content: The following information shall be provided in the written technical proposal and will be evaluated to assess the proposed technical approach and associated technical risk in accordance with Section M-900, Evaluation Basis for Award. The written technical proposal shall address each of the following subfactors in sufficient detail to describe the offeror's proposed approach to performing the requirements set forth in the SOO and SRD. For each subfactor, the offeror shall identify risks, if any, associated with the proposed approach and actions the offeror will take to mitigate the identified risks. If no risks/mitigations are identified in the offeror's proposal, it indicates the offeror does not consider there to be any risk associated with their proposed approach. The Government reserves the right to independently identify risks with the proposed approach outside of those risks identified by the offerors themselves.

In order to assist with streamlining the evaluation, offerors shall address only one subfactor per section in the technical proposal, avoid including subfactor discussions in multiple sections, and use the same headings/subfactor numbers/PD/paragraph numbers/etc. as used in this paragraph.

Subfactor I: Systems Engineering

The offeror's written technical proposal shall provide detailed narrative with supporting documentation, such as (but not limited to) charts, diagrams, figures, graphs, and supporting illustrations to demonstrate that the offeror's technical approach will meet the Performance Specification as outlined in the SRD and Statement of Objectives requirements as follows:

- **Technical Data Risk Mitigation Plan.** The offeror's written technical proposal shall provide a risk mitigation plan that addresses the lack of existing technical data needed to generate the required Alternate Mission Equipment (AME) test program sets (TPS) found in the SRD, Section 1.2, to include all Subsections.
- **Integrated Master Schedule with Rationale:** The offeror shall submit a detailed preliminary Integrated Master Schedule (IMS) that prioritizes F-16 first, followed by F-15, then A-10 for Phase I (or Handheld Phase) and Engineering Manufacturing Development (EMD) phase per the SRD Section 1. The proposed IMS shall communicate how the contractor shall meet the Phase 1 CDR within 10 months after contract award. The offeror shall identify and define those assumptions used when constructing the IMS. The proposed IMS shall include the start date, duration, dependencies, and the end date for schedule activities, events, and milestones. Additionally, the proposed IMS shall identify the critical path for Phase I EMD and provide a schedule rationale narrative identifying, explaining, and providing mitigation plans for moderate and high-risk activities and events along the critical path. The proposed IMS shall include top level schedule activities, events and milestones for Phases II (Intermediate-Level Tester Phase) and III (Production Phase) with the duration of days from exercise of contract option to CDR and Production Readiness Review (PRR) IAW SOO. The proposed IMS is for all 3 phases and shall not exceed 300 lines overall length, shall be depicted in Gantt format and provided in Microsoft Project 2010 format. The IMS phases do not necessarily align with the contract basic year and option years.
- **Program Protection/Systems Security Engineering Plan:** The Offeror shall describe in the proposed plan for establishing Program Protection and Systems Security Engineering to include Cybersecurity, Cyber Survivability and Cyber Resiliency processes within the Systems Engineering and Development processes as required by the Statement of Objectives (SOO) and Systems Requirement Document (SRD).

Subfactor II: Statement of Work

The offeror's written technical proposal shall provide detailed Statement of Work (SOW) to demonstrate that the offeror's technical approach will meet the provided SOO.

Subfactor III: MOSA Utilization

The offeror's written technical proposal shall provide detailed narrative with supporting documentation, such as (but not limited to) drawings, charts, diagrams, graphs, and supporting illustrations to demonstrate that the offeror's technical approach will meet the Modular Open Systems Architecture (MOSA) requirements, this narrative and

supporting documentation will constitute the Offeror's Open Systems Management Plan (OSMP). At a minimum, the Offeror shall address the following:

- Plans/approaches for integrating the systems both internally and with external systems.
- The means for ensuring conformance to open standards and profiles throughout the development process,
- A description of how the technical approach ensures having access to mature as well as the latest technologies by establishing a robust, modular, and evolving architecture based on open standards that enhances interoperability and the ability to integrate new capabilities without redesign of entire systems or large portions thereof.
- A description how risks associated with reliance on a single source of supply over the life of the system will be mitigated; to include but not be limited to, technology obsolescence and dependence on proprietary or vendor unique technology.
- A description of the strategy for maintaining the currency of technology, e.g., through commercial or reusable Non-Developmental Item (NDI) insertion, technology refresh strategies, and other appropriate means to reduce the development cycle time and total life-cycle cost identification of processes for:
 - Isolating functionality through the use of modular design
 - Evaluating modular open system baseline standards, defining and updating profiles, and evaluating and justifying new or vendor-unique profiles
 - Validating implementation conformance to selected profiles
 - Managing application conformance to selected profiles
 - Training in use of profiles

Subfactor IV: Data Rights

The offeror's written technical proposal shall provide detailed narrative with supporting documentation, such as (but not limited to) drawings, charts, diagrams, graphs, and supporting illustrations to demonstrate that the offeror's technical approach will meet the data rights requirements as follows:

- Data Rights Plan. The Offeror shall propose the extent to which the rights in technical data (TD), computer software (CS), computer software documentation (CSD), and inventions/patents offered to the Government ensure unimpeded, innovative, and cost effective production, operation, maintenance, and upgrade of the CAT-F throughout its life cycle; allow for open and competitive procurement of CAT-F enhancements; and permit the transfer of the CAT-F non-proprietary object code and source code to other contractors for use on other systems or platforms. The Offeror shall also propose the TD, CSD, and CS reuse portability for use on other systems or platforms.
- Data Availability Plan. The Offeror shall describe its plan for making design and interface information available as soon as possible after it is defined or established. The Offeror shall establish and maintain a process that will provide "early and often" design disclosure directly to the Government or to third-party contractors via Government established access to in-process design documentation and computer software. Access and the ability to download this information shall be supported using industry standards. The information products available in the repository shall be easily discovered and accessed. The exchange of information shall be structured so as to protect the Offeror's and third-party developers' proprietary rights in the information. The Offeror shall address how it intends to resolve any comments from the Government and third-party contractors. The Offeror shall describe how it intends to provide all non-proprietary licenses, source code, drawings, repair and engineering documentation to the Government and third-party contractors at specified key events or at defined intervals.

Subfactor V: Technical Manuals

The offeror's written technical manual proposal shall provide detailed narrative with supporting documentations, such as (but not limited to) drawings, charts, diagrams, graphs, and supporting illustrations to demonstrate that the offeror's technical manual approach will meet the technical manual requirements as follows:

- The offeror shall provide their proposed Technical Manual Quality Assurance (TMQA) Program Plan.
- The offeror shall provide their proposed Technical Manual Integrated Master Schedule (TMIMS).
- The offeror shall provide their proposed Configuration Control Management Plan for technical manual source data.

D. Volume III, Small Business Participation

1. General: The Small Business Participation proposal is required from all offerors, including small businesses and companies with Master, Individual, commercial subcontracting plans and/or comprehensive subcontracting plans. The offeror/joint venture member shall include only the first tier of subcontractors for this effort. Offerors are advised that the Small Business Participation proposal is not the same as the Small Business Subcontracting Plan required by FAR 52.219-9. Large business offerors shall not utilize the Small Business Subcontracting Plan in the place of the Small Business Participation proposal.

2. Format and Specific Content: The offeror shall submit a Small Business Participation proposal for itself and any joint venture member in a separate volume labeled “Volume III – Small Business Participation”. The Small Business Participation proposal shall address each of the following elements in the proposed performance of this resultant contract:

- The extent of participation of proposed Small Businesses (SB)* when subcontracting possibilities exist, including the company names with CAGE codes the offeror plans to use in the performance of this resultant contract; and,
- The description of the subcontracted work these proposed firms are to perform; and,
- The associated goals expressed in terms of percentages of the total acquisition value. If limited or no subcontracting possibilities exist for these socio-economic entities, provide rationale for such. Offerors are cautioned against only acknowledging a goal is not met, if applicable. Rather, adequate rationale includes specific reasons why a goal is unmet, and any actions being taken to increase any unmet goals. Additionally, if the offeror/joint venture member is a small business concern, it should include the work it will be performing when calculating the goals for your Small Business Participation information.

* Small Businesses include service-disabled veteran-owned small business concerns, HUBZone small business concerns, small disadvantaged business concerns, and women-owned small business concerns.

E. Volume IV, Cost/Price

The Offeror shall submit the following with its Volume IV, Cost/Price Factor Proposal Submission:

1. The offeror shall complete a cost model for all CLINs (live, working price/cost model in Microsoft Excel including formulas with notional numbers for all elements of cost. For all indirect costs, factors, CERs, etc. include all bases and calculations to arrive at computed amounts). The format for the cost model is supplied within RFP Attachment 6. Offerors shall review all instructions contained within RFP Attachment 6, Excel Cost Model, and shall ensure the information provided is compliant with the provided instructions. Cost or Pricing Data Requirements can be found in Section 9 below.
2. Detailed table of contents.
3. Glossary of all abbreviations and acronyms used, with an explanation for each.
4. Definitions as necessary.
5. List identifying each major/minor subcontractors and vendors, reflecting the estimated total price, by CLIN, for each.
6. Date of current FPRA/FPRR for Prime, and all subcontractors with a proposed value equal to or greater than \$2,000,000 (hereinafter referred to as major subcontractors) for cost-type CLINs X001, X002, 0003, 0004, 0005, 0006, 0014, 0015, 1003, 1004, 1005, 1006, 1011, 1012, 1015, 2003, 2004, 2005, 2013, 2014, 2017, 3003, 3004, 3012, 3013, 3016, 4008, 4009, and 4012. Rates and factors shall be supplied for Prime, and all major subcontractors. If an FPRA/FPRR is not available, refer below to Number 9. Cost and Pricing Data Requirements.

7. Names, addresses, telephone numbers, and e-mail addresses of the Offeror's (and the Offeror's subcontractors and teaming partners) cognizant Defense Contract Management Agency (DCMA) administrative contracting officers (ACO) and cognizant Defense Contract Audit Agency (DCAA) offices
8. Synopsis of Current Estimating, Purchasing, Cost Accounting Standards, Disclosure Statement, Accounting Systems, and Adequacy Determination for the Prime Contractor:
 - The Offeror shall provide a summary description of the Offeror's standard estimating system or methods, current policies, and/or new policies. The Offeror shall state whether the estimating system and new policies have been reviewed by the Government and shall provide evidence of review and/or Administrative Contracting Officer approval. The Offeror shall provide any known/cited estimating system deficiencies and identify any deviations from the Offeror's established/standard estimating procedures used in preparing this proposal. For known/cited estimating system or methods non-compliances, provide a schedule and description of corrective actions the offeror is taking to eliminate the non-compliance issues.
 - The Offeror shall provide a summary description of the Offeror's purchasing system or methods. The Offeror shall state whether the purchasing system has been reviewed by the Government and provide evidence of review and/or Administrative Contracting Officer approval. The Offeror shall provide any known/cited purchasing system deficiencies and identify any deviations from the Offeror's established/standard purchasing procedures used in preparing this proposal. For known/cited purchasing system or methods non-compliances, provide a schedule and description of corrective actions the Offeror is taking to eliminate the non-compliance issues.
 - In accordance with FAR 16.301-3(a) (3) and 9.104-1(e), the Offeror shall utilize an accounting system that is adequate for determining costs applicable to the contract. The Offeror shall provide a summary description of the Offeror's accounting system and state whether it is compliant with Generally Accepted Accounting Principles. The Offeror shall also state whether the accounting system has been reviewed and approved by the Government and provide evidence of the review and approval by DCAA / DCMA. The Offeror shall provide any known/cited accounting system deficiencies and identify any deviations from the Offeror's standard procedures in preparing this proposal. For known/cited accounting system or methods non-compliances, provide a schedule and description of corrective actions the Offeror is taking to eliminate the non-compliance issues. In the event the Offeror's accounting system has not been reviewed and approved by DCAA / DCMA, the Offeror shall complete the enclosed 'Pre-Award Survey', RFP Attachment 10, and submit the completed document as part of Volume IV: Cost/Price Proposal submission. The Government will forward the document to DCAA in order to initiate their review of the Offeror's accounting system(s) to determine if it is adequate for a cost-reimbursement contract.
 - The Offeror shall provide a summary description of the Offeror's current Cost Accounting Standards disclosure statement. The Offeror shall state whether the current Cost Accounting Standards disclosure statement has been reviewed by the Government and provide evidence of review and/or Administrative Contracting Officer approval. The Offeror shall provide any currently known/cited Cost Accounting Standards non-compliances and identify any deviations from the Offeror's Cost Accounting Standards disclosure statement used in preparing this proposal. For known/cited Cost Accounting Standards non-compliances provide a schedule and description of corrective actions the Offeror is taking to eliminate the non-compliance issues.

9. Cost or Pricing Data Requirements

It is anticipated that pricing of this action will be based on adequate price competition; therefore, Offerors are not required to submit certified cost or pricing data. However, if after receipt of proposals it is determined that adequate price competition does not exist, certified cost or pricing data (see FAR 15.406-2, Certificate of Current Cost or Pricing Data) shall be required.

Elemental Cost Breakouts

Irrespective of the presence of adequate price competition, breakouts by individual cost elements shall be provided for proposed costs and add-on factors applicable to cost-type CLIN(s) X001, X002, 0003, 0004, 0005, 0006, 0014, 0015, 1003, 1004, 1005, 1006, 1011, 1012, 1015, 2003, 2004, 2005, 2013, 2014, 2017, 3003, 3004, 3012, 3013, 3016, 4008, 4009, and 4012 for the Prime offeror and all major subcontractors, to assist in the determination of realism. Elemental cost breakouts shall be provided as part of the offeror's proposal, and shall be in .xls file format (with live working formulas) as provided in the "Format A" and "Format D" worksheets contained within RFP Attachment 6. Any other type of file format will not be accepted. Offerors should refer to the format indicated in Table 15-2 of FAR 15.408 for instructions on submitting acceptable elemental cost breakouts.

NOTE: Certified Cost or Pricing Data is Not Required unless it is determined that adequate price competition does not exist.

In support of the elemental cost breakouts, all offerors (Prime and major subcontractors) who have neither a FPRA nor a FPRR shall submit the following items/information as part of their proposal. If any of the items/information is not available for a particular offeror, it shall be noted in the offeror's response to the RFP.

1. Previous three years' actual historical rates for each individual cost element used in developing the proposed unit costs
2. Breakout of actual expenses included in the indirect cost pools and respective bases, from the previous three years
3. Breakout of the budgeted forecasts for the indirect pools and bases used in developing the proposed unit costs, covering the entire contract period (Basic and Options)
4. Certified payroll verification with current labor rates, cross-referenced to the respective proposed labor categories shall be provided in support of the proposed direct labor rates for year one. If year one proposed rates are not supported by current labor, offeror shall provide assumptions for hiring individuals, and labor rates that will be offered.

All information submitted in support of items 1-3 above shall be in .xls file format with live working formulas. Any other type of file format will not be accepted for items 1-3, but is acceptable for item 4. It is the offeror's/joint venture member's responsibility to review all proposals submitted by any major subcontractor for accuracy and format. It is also the offeror's/joint venture member's responsibility to submit all major subcontractor proposed unit costs, major subcontractor elemental cost breakouts, and major subcontractor documentation in support of the elemental cost breakouts, as part of the offeror's/joint venture member's proposal. For any of the above referenced information that a major subcontractor may not be willing to provide directly to the offeror/joint venture member, the offeror/joint venture member shall instruct the major subcontractor to provide that information directly to the Government in accordance with the terms and conditions of this solicitation.

In accordance with (IAW) FAR 15.404-1(d), cost realism analysis shall be performed on cost-reimbursement contracts. All offerors and subcontractors valued at equal to or greater than \$2,000,000 (for the entire effort to include Options) shall provide data other than certified cost and pricing data using spreadsheet Cost Formats A, B, C, and D (see RFP Attachment 6) along with accompanying schedules, lists, and narratives to substantiate the cost realism for CLINs X001, X002, 0003, 0004, 0005, 0006, 0014, 0015, 1003, 1004, 1005, 1006, 1011, 1012, 1015, 2003, 2004, 2005, 2013, 2014, 2017, 3003, 3004, 3012, 3013, 3016, 4008, 4009, and 4012. Note for any subcontractors, to include minor subcontractors (with less than \$2,000,000 in total costs), offerors shall include roll-up cost data on Cost Formats A and C. If necessary, the Contracting Officer may request additional minor subcontractor cost data during discussions.

The Offeror's cost proposal shall contain the proposed cost to the Government for performing the work described in the offeror's Statement of Work (SOW), the attached CDRLs, and additional CDRLs/data the offeror proposes and references from the SOW for effective management of the program as proposed in the offeror's engineering volume. The Offeror's proposal is presumed to represent its best effort in response to the solicitation. Any inconsistency, whether real or apparent, between promised performance and cost shall be explained in the proposal. Any significant inconsistency, if unexplained, raises a fundamental issue with the Offeror's understanding of the nature and scope of work required, and ability to perform the contract,

and may be grounds for rejection of the proposal. The burden of proof as to the credibility of the cost proposal rests with the Offeror.

Price Reasonableness and Cost Realism

The Offeror shall provide sufficiently detailed proposals to demonstrate price reasonableness and cost realism. The burden of proof for cost realism of proposed costs rests with the Offeror. Offerors shall review all instructions contained within RFP Attachment 6, Excel Cost Model, and shall ensure the information provided is compliant with the provided instructions.

Cost Formats A, B, C, and D

The Cost Format worksheets (see RFP Attachment 6) shall contain the required information to complete a cost realism analysis. "Format A" shall be linked to "Format B", i.e., every cell in "Format A" containing a rate (to include fixed fee) or factor, shall pull that rate or factor directly from "Format B". "Format A" shall be linked to "Format C", i.e., the proposed unit cost and proposed fixed fee for CLINs X001, X002, 0003, 0004, 0005, 0006, 0014, 0015, 1003, 1004, 1005, 1006, 1011, 1012, 1015, 2003, 2004, 2005, 2013, 2014, 2017, 3003, 3004, 3012, 3013, 3016, 4008, 4009, and 4012 in "Format C" shall be pulled directly from the respective CLIN in "Format A" where possible. "Format A" shall be linked to "Format D", i.e., the subcontractors' proposed prices shall feed into the prime offerors cost roll up.

Cost Format A: "Format A" is a detailed cost breakdown by cost elements, showing the details of the proposed labor hours, labor rates, indirect rates and costs, and proposed fee by year. The offeror must show a summary of labor hours by labor categories, costs by each separate cost element, and proposed fee. The "Format A" worksheet shall be linked to the "Format B" and "Format C" worksheets.

Cost Format B: This worksheet, using the example format provided, shall be the source document for direct rates, indirect rates, material add-on factors, and fee. This worksheet shall be linked to the "Format A" worksheets. The "Format B_PRIME Rates" worksheet shall include all proposed direct and indirect rates, estimating factors, fee and etc. for each year. The purpose for linking the single "Format B_PRIME Rates" worksheet to the "Format A" worksheets is to facilitate the government's evaluation of the proposed rates and to make Most Probable Cost (MPC) adjustments more straightforward. If the prime offeror has a major subcontractor, the major subcontractor's rates shall be input in the "Format B_SUB Rates" worksheet; if there is more than one major subcontractor, the prime offeror shall create additional "Format B_SUB Rates" worksheets to accommodate proposed rates and factors. There shall be a separate "Format B_SUB Rates" worksheet for each major subcontractor.

Cost Format C: "Format C" shall be used to roll up all proposed prices, including the CLINs subject to cost realism and those not subject to cost realism. "Format C" will calculate the Total Proposed Price as referenced in Section M-900. The "Format C" worksheet shall be linked to the "FFP CLINs" and "Format A" worksheets.

Cost Format D: "Format D" is for subcontractor/sub-tier vendor cost/price summary information. This information shall be provided by the Prime and any major subcontractor (both hereinafter referred to as "Offeror" in the remainder of this paragraph) in the format provided. If there are differences between costs/prices quoted by subcontractors/sub-tier vendors to the Offeror and costs/prices proposed by the Offeror, the Offeror shall provide a complete justification and explanation of the amount proposed by the Offeror. Specifically address why the Offeror's amount should be considered by the Contracting Officer to be more realistic than the amount of the subcontractor/sub-tier vendor quote. Major subcontractors are required to provide RFP Attachment 6 as part of their proposal. RFP Attachment 6 Format D worksheets for a major subcontractor shall be duplicated by the Prime Offeror to accommodate multiple major subcontractors, if necessary.

To substantiate the Cost Formats the offeror shall, in an accompanying narrative (Word Document), provide supporting data and contractor rationale for the costs proposed, including subcontractor/vendor costs. The information should be sufficiently detailed to demonstrate the realism (CPFF and CRNF CLINs) and reasonableness of proposed costs. This information shall at a minimum:

- State whether proposed direct labor rates and indirect rates are covered by a Forward Pricing Rate Agreement (FPRA). If covered by a FPRA, provide the date of the agreement.

- If a FPRA is not in place, provide the date of the applicable Forward Pricing Rate Proposal (FPRP), with supporting rationale addressing the basis for the proposed rates with your proposal. If there is no FPRA or FPRP applicable, provide the complete rationale addressing the basis for all proposed rates, to include time sheets for each labor category bid and how the average rate is calculated, and pool and base costs for each indirect rate or Cost Estimating Relationship (CER), showing how the rate was calculated. Each of these items shall be provided for the past three years and the forward projected average labor rates and pools/bases for FY25 – FY31. This information shall also be provided for any major subcontractors that do not have a FPRA or FPRP.
- Address the rationale and approach to subcontracting and teaming arrangements.

10. Total Resources Volume

Total Resources General

This submission shall fully support all hours proposed in support of CLINs X001, X002, 0003, 0004, 0005, 0006, 0014, 0015, 1003, 1004, 1005, 1006, 1011, 1012, 1015, 2003, 2004, 2005, 2013, 2014, 2017, 3003, 3004, 3012, 3013, 3016, 4008, 4009, and 4012. It will be available to support the evaluations of proposals by the Technical and Cost/Price evaluators. This submission shall provide a clear depiction of all hours proposed regardless of whether these hours are provided by the Prime Offeror or any tier of subcontractor. The Prime Offeror is responsible for demonstrating in this submission that the appropriate hours are being proposed to meet the RFP requirements.

The electronic copy of this volume shall be in Microsoft Excel in the offeror's format to aid in the evaluation. PDF or other format is NOT acceptable. All formulas used in the worksheets shall be clearly visible in the individual cells and verifiable. The use of external links of any kind is prohibited. This submission shall not contain macros or hidden cells. The BOE Summary shall not be locked/protected or secured by passwords.

Total Resources BOE Labor Summary

The prime shall provide a BOE Labor Summary in the offeror's format. This Exhibit shall provide a clear depiction of all hours proposed on CLINs X001, X002, 0003, 0004, 0005, 0006, 0014, 0015, 1003, 1004, 1005, 1006, 1011, 1012, 1015, 2003, 2004, 2005, 2013, 2014, 2017, 3003, 3004, 3012, 3013, 3016, 4008, 4009, and 4012 regardless of whether these resources are provided by the Prime or any tier of subcontractor. The Prime Offeror is responsible for demonstrating that the appropriate resources are being proposed to meet the RFP requirements. At a minimum offerors shall describe the approach for proposing all labor hours. The result will be a narrative basis of estimates. Each of these narratives shall explain the proposed Labor, including the methodology for developing the BOEs, including but not limited to:

- Analogies
- Cost Estimating Relationships
- Commercial models or company bidding systems
- Sub-tier vendor estimates
- Engineering judgment
- Ground rules and assumptions
- Escalation rates used
- Learning curve

Contractor Labor Categories

Offerors are required to provide a table of Labor Category descriptions that clearly lists the duties and qualifications of the proposed labor categories regardless of source (prime and subcontractors). This list shall be provided in RFP Attachment 6 in the identified "Rate Desc" worksheets.

Total Resources BOE Material Summary

The Offeror shall complete this Exhibit using RFP Attachment 7, Total Resources Volume (WBS Breakdown). Offerors are required to provide a BOE Material Summary that clearly lists the Types and Quantities of Material resources proposed regardless of source (prime and subcontractors) by the SOW and CWBS time-phased by contract period. Clearly list the types & quantities of materials proposed. This summary should be an unburdened version of the Priced Bill of Material, which offerors shall provide separately in Volume IV Cost/Price. This summary shall be provided in .xls file format to facilitate manipulation of the data during evaluation; otherwise, contractor format is acceptable.

11. CLIN Structure and Fee Structure

The Offeror shall complete the CLINs cost/price Excel spreadsheet as provided in the Cost Format worksheets (referenced above), and the fill-in blanks on the RFP Schedule B in accordance with the CLIN and Fee structure in Schedule B as summarized below. Offerors shall only enter information in the yellow highlighted cells. If there are any discrepancies between RFP Schedule B and RFP Attachment 6 Excel Cost Model, the data in RFP Attachment 6 Excel Cost Model will take precedence.

All proposed unit costs/prices shall be in whole dollar amounts. If any proposed unit cost/price does not meet this criteria, the Government will round that unit cost/price to whole dollars. The Government adjusted unit cost/price will become the offeror's proposed unit cost/price, as applicable. Failure to follow these instructions, or any alteration of RFP Attachment 6, Excel Cost Model, may result in rejection of the offeror's proposal.

Table 1- CLIN and Fee Structure		
Basic Period		
CLIN	Type	Description
0001	CPFF	F-16 O-Level Handheld/Pre-load Tester Prototype Design and Digital Development: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model. Fixed fee shall be proposed.
0002	CPFF	F-15 O-Level Handheld/Pre-load Tester Prototype Design and Digital Development: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model. Fixed fee shall be proposed.
0003	CPFF	A-10 O-Level Handheld/Pre-load Tester Prototype Design and Digital Development: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model. Fixed fee shall be proposed.
0004	CPFF	F-16 I-Level Fault Isolation Tester Design and Digital Development: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model. Fixed fee shall be proposed.
0005	CPFF	F-15 I-Level Fault Isolation Tester Design and Digital Development: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model. Fixed fee shall be proposed.
0006	CPFF	A-10 I-Level Fault Isolation Tester Design and Digital Development: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model. Fixed fee shall be proposed.
0007	FFP	F-16 O-Level Handheld Tester Prototype: Offerors shall propose a fully burdened unit price inclusive of profit.
0008	FFP	F-15 O-Level Handheld Tester Prototype: Offerors shall propose a fully burdened unit price inclusive of profit.
0009	FFP	A-10 O-Level Handheld/Pre-load Tester Digital Design: Offerors shall propose a fully burdened unit price inclusive of profit.

0010	FFP	F-16 I-Level Fault Isolation Tester Digital Design: Offerors shall propose a fully burdened unit price inclusive of profit.
0011	FFP	F-15 I-Level Fault Isolation Tester Digital Design: Offerors shall propose a fully burdened unit price inclusive of profit.
0012	FFP	A-10 I-Level Fault Isolation Tester Digital Design: Offerors shall propose a fully burdened unit price inclusive of profit.
0013	FFP	Program Management: Offerors shall propose a fully burdened unit price inclusive of profit.
0014	CPFF	Design Demonstration: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model. Fixed fee shall be proposed.
0015	CRNF	Travel: Offerors shall propose their estimated travel costs as Other Direct Costs and add-on factors as applicable.
0016	FFP	Software Source Code: Offerors shall propose a fully burdened unit price inclusive of profit.
0017	NSP	CDRLs (Data)
0018	FFP	Post Award Conference: Offerors shall propose a fully burdened unit price inclusive of profit.
0019	NSP	CDRLs (Data)
Option I		
1001	CPFF	F-16 O-Level Handheld/Pre-load Tester Engineering and Manufacturing Development (EMD): Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model. Fixed fee shall be proposed.
1002	CPFF	F-15 O-Level Handheld/Pre-load Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model. Fixed fee shall be proposed.
1003	CPFF	A-10 O-Level Handheld/Pre-load Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model. Fixed fee shall be proposed.
1004	CPFF	F-16 I-Level Fault Isolation Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model. Fixed fee shall be proposed.
1005	CPFF	F-15 I-Level Fault Isolation Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model. Fixed fee shall be proposed.
1006	CPFF	A-10 I-Level Fault Isolation Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model. Fixed fee shall be proposed.
1007	FFP	F-16 O-Level Handheld/Pre-load Tester Logistical Support: Offerors shall propose a fully burdened unit price inclusive of profit.
1008	FFP	F-16 O-Level Handheld Tester LRIP: Offerors shall propose a fully burdened unit price inclusive of profit.
1009	FFP	F-16 O-Level Handheld Tester Kits: Offerors shall propose a fully burdened unit price inclusive of profit.
1010	FFP	Program Management: Offerors shall propose a fully burdened unit price inclusive of profit.

1011	CPFF	Support Government Testing: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model. Fixed fee shall be proposed.
1012	CRNF	Travel: Offerors shall propose their estimated travel costs as Other Direct Costs and add-on factors as applicable.
1013	FFP	Software Source Code: Offerors shall propose a fully burdened unit price inclusive of profit.
1014	NSP	CDRLs (Data)
1015	CPFF	Technical Data
1016	FFP	Surge Option
1017	NSP	CDRLs (Data)
Option II		
2001	CPFF	F-15 O-Level Handheld/Pre-load Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model.
2002	CPFF	A-10 O-Level Handheld/Pre-load Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model.
2003	CPFF	F-16 I-Level Fault Isolation Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model.
2004	CPFF	F-15 I-Level Fault Isolation Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model.
2005	CPFF	A-10 I-Level Fault Isolation Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model.
2006	FFP	F-15 O-Level Handheld/Pre-load Tester Logistical Support: Offerors shall propose a fully burdened unit price inclusive of profit.
2007	FFP	A-10 O-Level Handheld/Pre-load Tester Logistical Support: Offerors shall propose a fully burdened unit price inclusive of profit.
2008	FFP	F-16 O-Level Handheld Tester Kits: Offerors shall propose a fully burdened unit price inclusive of profit.
2009	FFP	F-15 O-Level Handheld Tester Kits (LRIP): Offerors shall propose a fully burdened unit price inclusive of profit.
2010	FFP	F-15 O-Level Handheld Tester Kits: Offerors shall propose a fully burdened unit price inclusive of profit.
2011	FFP	A-10 O-Level Handheld Tester Kits (LRIP): Offerors shall propose a fully burdened unit price inclusive of profit.
2012	FFP	Program Management: Offerors shall propose a fully burdened unit price inclusive of profit.
2013	CPFF	Support Government Testing: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model.
2014	CRNF	Travel: Offerors shall propose their estimated travel costs as Other Direct Costs and add-on factors as applicable.

2015	FFP	Software Source Code: Offerors shall propose a fully burdened unit price inclusive of profit.
2016	NSP	CDRLs (Data)
2017	CPFF	Technical Data
2018	FFP	Surge Option
2019	NSP	CDRLs (Data)
Option III		
3001	CPFF	A-10 O-Level Handheld/Pre-load Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model.
3002	CPFF	F-16 I-Level Fault Isolation Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model.
3003	CPFF	F-15 I-Level Fault Isolation Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model.
3004	CPFF	A-10 I-Level Fault Isolation Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model.
3005	FFP	F-16 I-Level Fault Isolation Tester Logistical Support: Offerors shall propose a fully burdened unit price inclusive of profit.
3006	FFP	F-15 I-Level Fault Isolation Tester Logistical Support: Offerors shall propose a fully burdened unit price inclusive of profit.
3007	FFP	A-10 O-Level Handheld Tester Kits: Offerors shall propose a fully burdened unit price inclusive of profit.
3008	FFP	F-16 I-Level Fault Isolation Tester Kits (LRIP): Offerors shall propose a fully burdened unit price inclusive of profit.
3009	FFP	F-15 I-Level Fault Isolation Tester Kits (LRIP): Offerors shall propose a fully burdened unit price inclusive of profit.
3010	FFP	F-16 I-Level Fault Isolation Tester Kits: Offerors shall propose a fully burdened unit price inclusive of profit.
3011	FFP	Program Management: Offerors shall propose a fully burdened unit price inclusive of profit.
3012	CPFF	Support Government Testing: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model.
3013	CRNF	Travel: Offerors shall propose their estimated travel costs as Other Direct Costs and add-on factors as applicable.
3014	FFP	Software Source Code: Offerors shall propose a fully burdened unit price inclusive of profit.
3015	NSP	CDRLs (Data)
3016	CPFF	Technical Data
3017	FFP	Surge Option
3018	NSP	CDRLs (Data)
Option IV		

4001	CPFF	F-15 I-Level Fault Isolation Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model.
4002	CPFF	A-10 I-Level Fault Isolation Tester EMD: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model.
4003	FFP	A-10 I-Level Fault Isolation Tester Logistical Support: Offerors shall propose a fully burdened unit price inclusive of profit.
4004	FFP	F-15 I-Level Fault Isolation Tester Kits: Offerors shall propose a fully burdened unit price inclusive of profit.
4005	FFP	A-10 I-Level Fault Isolation Tester Kits (LRIP): Offerors shall propose a fully burdened unit price inclusive of profit.
4006	FFP	A-10 I-Level Fault Isolation Tester Kits: Offerors shall propose a fully burdened unit price inclusive of profit.
4007	FFP	Program Management: Offerors shall propose a fully burdened unit price inclusive of profit.
4008	CPFF	Support Government Testing: Offerors shall propose labor categories, direct and indirect labor rates, material costs, and/or add-on factors as identified in RFP Attachment 6, Excel Cost Model.
4009	CRNF	Travel: Offerors shall propose their estimated travel costs as Other Direct Costs and add-on factors as applicable.
4010	FFP	Software Source Code: Offerors shall propose a fully burdened unit price inclusive of profit.
4011	NSP	CDRLs (Data)
4012	CPFF	Technical Data
4013	FFP	Surge Option
4014	NSP	CDRLs (Data)

12. Other Direct Costs (ODCs)

Offerors shall submit supporting schedules showing proposed ODCs, including their analysis. This cost data shall reconcile to the ODCs supported in the RFP Attachment 7, Total Resources Volume (WBS Breakdown), and shall be in .xls file format with live working formulas. Any other type of file format will not be accepted.

13. Material

In addition to the requested information in the Total Resources BOE Material Summary contained in paragraph (5) Total Resource Volume (WBS Breakout), offerors shall submit a Consolidated Bill of Material (CBOM) presenting proposed amounts shown within "Cost Format A" and "Cost Format D" worksheets of Attachment 6 for all CPFF CLINs for the prime. The prime shall also include each subcontractor/vendor's data for their sole source CPFF CLINs. The CBOM provided shall be sortable and shall include vendor names, part number, nomenclature, unit price, quantities, and extended price. Provide the CBOM in electronic .xls file format that lists proposed material costs allocations to individual and CPFF CLINs by GFY. This cost data shall reconcile to the material estimates supported in the Total Resources Volume (WBS Breakout). The offeror shall also submit the supporting documentation for the top eighty percent (80%) of the extended values contained in the total dollar of items on the CBOM, such as a copy of the vendor quote (sole source or competitive), or printout from the offeror's, subcontractor's, or vendor's historical data base showing what was paid in the past to include timeframe and quantity.

14. Government Fiscal Year (GFY): Offerors shall provide proposed time phased funding requirements by GFY by month for each CLIN. Offerors shall provide this data in Microsoft Excel.

15. CDRLs are identified as being “Not Separately Priced” under CLINs 0017, 0019, 1014, 1017, 2016, 2019, 3015, 3018, 4011, and 4014 in the RFP. The cost of the CDRLs shall be included in the applicable CLINs.
16. The Government recognizes that non-transferable GFP may be used in the execution of this requirement. To counteract the disparity this may cause, additional value may be added to the GFP-holders Total Evaluated Price (TEP). Offerors shall complete RFP Attachment 5, Government Furnished Property List, to identify the quantity of all non-transferable GFP that the offeror has possession of for use in the performance of the solicited requirement; specifically, the offeror is to identify all GFP that is available for the offeror but not available to be transferred to another offeror at the time of award.

M-900. EVALUATION BASIS FOR AWARD - INITIAL SOURCE SELECTION, CAT-F SYSTEM DESIGN

I. Basis for Contract Award

A. Source Selection Methodology: This acquisition will utilize the Tradeoff source selection procedures in accordance with FAR 15.101-1 and 15.3 as supplemented by the DoD Source Selection Procedures referenced in DFARS 215.300 and the DAFFARS Mandatory Procedures 5315.3 to make an integrated assessment for a best value award decision. The Government intends to award up to two contracts as a result of this solicitation, however, the Government may award to only one offeror should that be in the best interest of the Government. In using the best value approach, the Government seeks to award to the offeror who gives the Air Force the greatest confidence that it will best meet or exceed our requirements affordably in a way that will be advantageous to the Government. This may result in an award to a higher rated, higher priced offeror where the decision is consistent with the evaluation factors and the Source Selection Authority (SSA) reasonably determines that the lower technical risk of the higher priced offeror outweighs the cost difference. To arrive at a best value decision, the SSA will integrate the source selection team's evaluations of the factors and subfactors described in this provision. While the Government will strive for maximum objectivity, the tradeoff process, by its nature, is subjective; therefore, professional judgment is implicit throughout the selection process. Offerors are reminded that the Government will only evaluate one proposal from each offeror. Award will be made to the responsible offeror whose proposal conforms to all required terms and conditions, includes all required representations and certifications, meets all requirements set forth in the RFP and also provides the best value to the Government based on the results of the evaluation as described in paragraph II below.

B. Factors, Subfactors and Relative Importance

1. Factors and Subfactors: A detailed and complete analysis of each offeror's proposal will be performed. The Government's evaluation will be based on the following factors and subfactors:

Factor I: Technical (which includes both Technical and Technical Risk Ratings)

Subfactor I: Systems Engineering

- Technical Data Risk Mitigation Plan
- Integrated Master Schedule with Rationale
- Program Protection/Systems Security Engineering Plan

Subfactor II: Statement of Work

Subfactor III: MOSA Utilization

Subfactor IV: Data Rights

- Data Rights Plan
- Data Availability Plan

Subfactor V: Technical Manuals

Factor II. Small Business Participation

Factor III. Cost/Price

2. Relative Importance: Technical, which includes the technical rating and technical risk rating is **significantly more important** than cost/price. However, Factor III, Cost/Price, is an important consideration in the best value award decision. Within Factor I, subfactors I, II, III, IV and V are listed in order of importance, but are only slightly different in level of importance. Factor II Small Business Participation will be evaluated on an acceptable/unacceptable basis, and thus will not be a part of the tradeoff decision. Factor I, Technical evaluation, includes both technical acceptability/unacceptability or color/adjectival evaluation, and technical risk. The technical acceptability/unacceptability rating is only applicable to Subfactor I and V and will not be a part of the tradeoff decision. However, the color/adjectival evaluation and technical risk rating portions of the technical factor are applicable to Subfactors II- IV and will be a part of the tradeoff decision.

II. Proposal Evaluation

The evaluation process will be accomplished as follows (Organized by volume):

A. General

The Government intends to award without discussions but reserves the right to conduct discussions if determined necessary. Any discussions will be conducted in accordance with FAR 15.306.

If the Contracting Officer determines that the number of proposals that would otherwise be in the competitive range exceeds the number at which an efficient competition can be conducted, the Contracting Officer, with the concurrence of the SSA, may limit the number of proposals in the competitive range to the greatest number that will permit an efficient competition among the most highly rated proposals. Throughout the course of proposal evaluations and discussions, the Government reserves the right to establish multiple competitive ranges in accordance with FAR 15.306(c)(3) and FAR 15.306(d)(5).

B. Gating:

An RFP compliance review will be conducted for all offerors that submit a timely initial proposal. Proposals that are complete, in accordance with Volume I, and received before 4:30PM Eastern Standard Time on the solicitation closing/proposal response date will move to Gate 1. Incomplete, late, or noncompliant proposals will not proceed to Gate 1.

Gate 1: All offerors within Gate 1 shall have their **Volume II, Written Technical Proposal** evaluated in accordance with Section M. A technical acceptability rating and a technical risk rating will be applied to each subfactor. All offerors within Gate 1 shall have their **Volume IV, Cost/Price Proposal** evaluated for reasonableness and balance in accordance with Section M. Furthermore, the Government will calculate the Total Proposed Price (TPP) for each offeror using their submitted Volume IV, Cost/Price Volume. The two (2) offerors with the lowest TPP and meeting the following criteria will proceed to Gate 2: have a low technical risk rating in all subfactors; be technically acceptable in Subfactors I and V; have **the highest technical color/adjectival rating (Blue/Outstanding) in Subfactors II-IV**, and be determined reasonable and balanced.

In the event there are less than two (2) low technical risk rated offerors, offerors with the lowest TPP and determined to be reasonable, balanced, technically acceptable in Subfactors I and V, have the highest technical color/adjectival rating (Blue/Outstanding) in Subfactors II-IV, and with the least amount of **moderate** technical risk ratings in all subfactors will move to Gate 2 until the number of offerors moved to Gate 2 equals two (2). All offerors evaluated and determined to be technically unacceptable, have any technical risk rating of high or unacceptable, and not in the group of two (2) lowest TPPs will remain in Gate 1. If there are not two (2) proposals that meet all Gate 1 exit criteria as stated above, the proposals with the highest number of Purple/Good and/or Blue/Outstanding on Subfactors II-IV and low technical risk on all other subfactors will be considered.

Gate 2: A complete cost realism evaluation will be conducted for all offerors entering this gate in accordance with Section M. All offerors' cost/price proposals evaluated and determined to have realistic prices will proceed into Gate 3. All offerors evaluated and determined to be unrealistic will remain in Gate 2.

Gate 3: All offerors within Gate 3 will receive a Final Proposal Revision (FPR) Request in accordance with FAR 15.307(b). All offerors that submit a timely FPR and are evaluated as still meeting the exit criteria for Gates 1 and 2 will meet the Gate 3 exit criteria and move into Gate 4. Offerors that do not submit a timely FPR or the offeror's FPR is evaluated as no longer meeting the exit criteria for Gates 1 and 2 will remain in Gate 3.

Gate 4: The SSA will utilize the Tradeoff source selection procedures to make an integrated assessment for a best value award decision using the relative importance above.

NOTES:

- It is the Government's intention to re-establish the competitive range upon conclusion of Gate 2 evaluations. All offerors that do not meet the applicable exit criteria for Gates 1 and 2 will be eliminated from the competitive range, and no further proposal revisions or submittals will be accepted for evaluation in accordance with FAR 15.306(c)(3), FAR 15.306(d)(5) and FAR 15.307(a). However, this does not preclude the Government's right to re-establish/redetermine the competitive range at any time during the source selection in accordance with FAR 15.306(c)(3) and FAR 15.306(d)(5).

- The Government reserves the right to reopen the Gating process at any stage to ensure a reasonable pool of offerors is presented to the SSA for an award decision. Upon the conclusion of any gate's evaluations, if the number of offerors identified as meeting the exit criteria for that gate is determined to not be a reasonable pool of offerors, the Government reserves the right to "reach back" to previous gates to continue discussions with offerors to potentially bring them forward. The determination of a reasonable pool of offerors is within the Government's discretion and cannot be defined upfront due to the inherent subjective nature of the tradeoff process.

B. Volume I, Completed RFP

1. Completed RFP: Volume I, Completed RFP shall be evaluated to ensure the RFP and any amendments issued are signed, and all "fill-in" clauses and provisions are completed as required. The cover letter shall be evaluated to determine the number, types, and accompanying rationale of exceptions taken to the RFP terms and conditions. Offerors are reminded that the Government may independently identify exceptions taken to the RFP terms and conditions not listed in this cover letter. The Government reserves the right to determine any exceptions taken to the RFP terms and conditions as being non-compliant with the stated RFP requirements, and thus render the proposal not eligible for award.

2. Cross Reference Matrix: The cross-reference matrix will be utilized as a tool to show critical interrelationships and dependencies among the technical requirements documents SOO, SRD, CDRL, Section L-900 (Instructions to Offerors) and Section M-900 (Evaluation Basis for Award). The cross-reference matrix will help offerors ensure they have responded to all the evaluation criteria and proposal submittal requirements identified in the solicitation. If the matrix conflicts with any other requirement, direction, or provision of this solicitation, the other reference shall take precedence over this matrix. Section M references in the matrix are for informational purposes only, and the Government shall be obligated to evaluate proposals solely in conformance with the provisions of Section M of the solicitation.

3. Small Business Subcontracting Plan: The small business subcontracting plan will be evaluated per FAR 52.219-9, as supplemented by the DFARS and DAFFARS, to assure it reflects a sound approach to the offeror's proposed small business subcontracting. Failure by the large business offeror/joint venture to submit this small business subcontracting plan will result in the offeror being considered as failing to meet the RFP terms and conditions, and thus render the proposal not eligible for award.)

C. Volume II, Technical Factor

1. General: Each offeror's written technical proposal shall be evaluated, based on the subfactors below, to determine if the offeror provides a sound, compliant approach that meets the requirements of the SOO and SRD and demonstrates a thorough knowledge and understanding of those requirements and their associated risks. The technical proposal addresses each of the following subfactors in sufficient detail. For each subfactor, the offeror identifies risks, if any, associated with the proposed approach and actions the offeror will take to mitigate the identified risks. If no risks/mitigations are identified in the offeror's proposal, it indicates the offeror does not consider there to be any risk associated with their proposed approach. Offerors are reminded that the Government may independently identify risks with the proposed approach beyond those identified by the offerors themselves.

Subfactor I: Systems Engineering

This subfactor will be evaluated on a technical acceptable/unacceptable basis and a technical risk rating. This subfactor is met when the offeror's written technical proposal has provided an acceptable detailed narrative with supporting documentation such as (but not limited to) charts, diagrams, figures, graphs, and supporting illustrations, to demonstrate the offeror's technical approach will meet the Performance Specification as outlined in the SRD and Statement of Objectives paragraph requirements as follows:

- **Technical Risk Mitigation Plan:** This is met when the offeror's written technical proposal has provided a risk mitigation plan that addresses the lack of existing technical data needed to generate the required Alternate Mission Equipment (AME) test program sets (TPS) found in the SRD, Section 1.2, to include all Subsections.
- **Integrated Master Schedule with Rationale:** This is met when the offeror's written technical proposal has provided a detailed preliminary Integrated Master Schedule (IMS) that is prioritized by Mission Design Series (MDS) for the Increment I EMD phase per SOO. To be acceptable, the proposed IMS must

communicate how the contractor will meet the Phase 1 CDR within 10 months after contract award. The offeror must have identified and defined those assumptions used when constructing the IMS. The proposed IMS identifies the start date, duration, dependencies, and the end date for schedule activities, events, and milestones. The proposed IMS identifies the critical path for Phase I EMD and provides acceptable schedule rationale narrative identifying, explaining, and providing mitigation plans for moderate and high-risk activities and events along the critical path. The proposed IMS must identify top level schedule activities, events and milestones for Phase II and III with the duration of days from exercise of contract options to CDR and PRR IAW SOO.

- **Program Protection/Systems Security Engineering Plan:** This is met when the offeror has provided a comprehensive plan for Program Protection and Systems Security Engineering in accordance with the SOO and SRD.

Subfactor II: Statement of Work

This subfactor will be evaluated on a color/adjectival basis. This subfactor is met when the offeror has provided a written Statement of Work to demonstrate the offeror's technical approach will meet the Statement of Objectives. The SOW will be evaluated on if the offeror has met each requirement set forth in the SRD. Then the SOW will be evaluated on how each entry will affect the schedule or performance of the CAT-F, determining if there are any strengths or weaknesses for each entry.

Subfactor III: MOSA Utilization

This subfactor will be evaluated on a color/adjectival basis. This subfactor is met when the offeror provides their modular open system architecture approach that incorporates hardware and software modular open system architecture design requirements, as documented in the Offeror's Open Systems Management Plan (OSMP), to demonstrate how the offeror's MOSA approach will meet or exceed the RFP requirements.

Subfactor IV: Data Rights

This subfactor will be evaluated on a color/adjectival basis. This subfactor is met when the offeror has provided a proposal to offer the rights in technical data (TD), computer software (CS), computer software documentation (CSD), and inventions/patents to the Government to ensure unimpeded, innovative, and cost effective production, operation, maintenance, and upgrade of the CAT-F throughout its life cycle; to allow for open and competitive procurement of CAT-F enhancements; and to permit the transfer of the CAT-F non-proprietary object code and source code to other contractors for use on other systems or platforms.

Subfactor V: Technical Manuals

This factor will be evaluated on an acceptable/unacceptable basis. This factor is met when the offeror has provided a Technical Manual Quality Assurance (TMQA) Program Plan, a Technical Manual Integrated Master Schedule (TMIMS), and a Government a Configuration Control Management Plan for technical manual source data.

2. Technical Rating: The technical acceptable/unacceptable rating reflects the evaluation of the acceptability of the offeror's technical approach for meeting the Government's requirement for Subfactor I and V. The offeror's proposal shall be evaluated to determine whether the proposal is acceptable or unacceptable, using the ratings and descriptions outlined in the table below. The technical evaluation will also consider risk in determining acceptability or unacceptability. Risk pertains to the potential for unsuccessful contract performance. Risk will not receive a separate rating; rather, it will be inherent within the Subfactor I and V ratings. One technical rating will be assigned to each technical subfactor (I and V). In order to be considered awardable, there must be an "acceptable" rating in each subfactor (I and V).

Technical Acceptable/Unacceptable Ratings:

TECHNICAL ACCEPTABLE/UNACCEPTABLE RATINGS	
Rating	Description
Acceptable	Proposal meets the requirements of the solicitation
Unacceptable	Proposal does not meet the requirements of the solicitation.

The technical color/adjectival rating evaluates the quality of the offeror's technical solution to meet the Government's requirements for subfactors II-IV. Each subfactor (II-IV) will receive one of the color/adjectival ratings described in the DoD Source Selection Procedures excerpted below, which focuses on the strengths and deficiencies of the offeror's proposal. The color/ adjectival ratings depict how well the offeror's proposal meets each subfactor requirement. Subfactor ratings shall not be rolled up into an overall color/ adjectival rating for the Technical factor.

Technical Color/Adjectival Ratings:

TECHNICAL COLOR/ADJECTIVAL RATINGS		
Color	Rating	Description
BLUE	Outstanding	Proposal demonstrates an exceptional approach and understanding of the requirements, contains multiple strengths and/or at least one significant strength
PURPLE	Good	Proposal demonstrates a thorough approach and understanding of the requirements and contains at least one strength or significant strength.
GREEN	Acceptable	Proposal demonstrates an adequate approach and understanding of the requirements.
YELLOW	Marginal	Proposal has not demonstrated an adequate approach and understanding of the requirements.
RED	Unacceptable	Proposal does not meet requirements of the solicitation and, thus, contains one or more deficiencies and is un-awardable

3. Technical Risk Rating: Technical risk, which is manifested by the identification of weaknesses, assesses the degree to which an offeror's proposed approach for the requirements of the solicitation may cause disruption of schedule, increased costs, degradation of performance, the need for increased government oversight, and/or the likelihood of unsuccessful contract performance, will be used for all subfactors. The evaluation shall address the Source Selection Team's identification of any weaknesses and/or significant weaknesses, as well as the offeror's identified risks and proposed mitigation (if applicable) and document why that is or is not manageable. Each technical subfactor (II-V) will receive one of the Technical Risk ratings described in the DoD Source Selection Procedures, excerpted below.

Technical Risk Ratings:

Adjectival Rating	Description
Low	Proposal may contain weakness/weaknesses which have low potential to cause disruption of schedule, increased cost, or degradation of performance. Normal contractor emphasis and normal Government monitoring will likely be able to overcome any difficulties.
Moderate	Proposal contains a significant weakness or combination of weaknesses which may have a moderate potential to cause disruption of schedule, increased cost, or degradation of performance. Special contractor emphasis and close Government monitoring will likely be able to overcome any difficulties.
High	Proposal contains a significant weakness or combination of weaknesses which is likely to have high potential to cause significant disruption of schedule, increased cost, or degradation of performance. Special contractor emphasis and close Government monitoring will unlikely be able to overcome any difficulties.
Unacceptable	Proposal contains a deficiency or combination of significant weaknesses that causes an unacceptable level of risk of unsuccessful performance.

Note: The Government shall utilize the definitions as provided in the DoD Source Selection Procedures, section 5 for "strength", "significant strength", "weakness", "significant weakness", "uncertainty", and "deficiency". The Government is not bound by the offeror's opinion on the applicability of these terms to their proposal.

Further, offerors are hereby notified that those aspects of the proposed approach warranting an identification of a “strength”, a “significant strength”, a “Purple” or “Good” technical rating, or a “Blue” or “Outstanding” technical rating will be formally incorporated into the contract.

D. Small Business Participation Factor

1. General: Each offeror’s Small Business Participation proposal shall be evaluated, based on the elements below, to determine if the offeror provides an adequate approach to meeting the objectives of the Small Business Program, and demonstrates an understanding of those objectives. The Small Business Participation proposal addresses each of the following elements in sufficient detail.

- i) An adequate description of the extent of participation of proposed Small Businesses (SB) when subcontracting possibilities exist is provided, including the company names with CAGE codes the offeror plans to use in the performance of this resultant contract; and,
- ii) An adequate description of the subcontracted work to be performed by these proposed firms is provided; and,
- iii) The associated goals expressed in terms of percentages of the total acquisition value is provided. Adequate rationale is provided if limited or no subcontracting possibilities exist for these socio-economic entities. Offerors are cautioned against only acknowledging a goal is not met, if applicable. Adequate rationale includes specific reasons why a goal is unmet and any actions being taken to increase any unmet goals.

The associated goals in paragraph iii above in the offeror’s Small Business Participation proposal will be evaluated against the FY23 DoD Small Business Subcontracting goals as the FY24 and FY25 subcontracting goals have not been published.

The DoD FY 2023 goals are as follows:

Business Size	Sub
Small Business	30%
Small Disadvantaged Business (SDB)	5%
Historically Underutilized Business Zone Small Business (HUBZone)	3%
Woman-Owned Small Business (WOSB)	5%
Service-Disabled Veteran-Owned Small Business (SDVOSB)	3%

2. Small Business Participation Rating: The rating reflects the evaluation of the acceptability of the offeror’s approach for meeting the Government’s Small Business Program objectives. The offeror’s proposal shall be evaluated to determine whether the proposal is acceptable or unacceptable, using the ratings and descriptions outlined in the table below. One rating will be assigned to the Small Business Participation factor.

Acceptable/Unacceptable Ratings:

Adjectival Rating	Description
Acceptable	Proposal indicates an adequate approach and understanding of small business objectives.
Unacceptable	Proposal does not meet small business objectives.

***Note:** Offerors are hereby notified that the Small Business Participation proposal will be formally incorporated into the contract.*

E. Cost/Price Proposal Factor

1. Volume IV: Cost/Price

The Government will evaluate each offeror’s proposed prices submitted in Volume IV, Cost/Price Proposal, for reasonableness, balance, and cost realism. A Total Evaluated Price (TEP), which will include an aggregate calculation of FFP CLINs and a Most Probable Cost (MPC) for cost-type CLINs, will be

presented to the Source Selection Authority (SSA) for consideration in making the best value determination. Cost/Price will not receive an adjectival rating. The Government will evaluate each offeror's cost/price proposal using one or more of the techniques described in FAR 15.404.

Offerors shall review all instructions contained within RFP Attachment 6, Excel Cost Model, and shall ensure the information provided is compliant with the provided instructions. The offeror's (Prime and Major Subcontractor's) proposed unit costs/prices in RFP Attachment 6, Excel Cost Model, will be evaluated for reasonableness, balance, and TEP calculation in accordance with Paragraphs A, B, and D below. The offeror's (Prime and Major Subcontractor's) proposed costs in RFP Attachment 6, Excel Cost Model, Cost Formats A, B, C, and D will be evaluated for cost realism and MPC in accordance with Paragraph C below. The TEP will be used for evaluation purposes only. Offerors are advised that evaluation of Options shall not obligate the Government to exercise said options.

- A. **Reasonableness:** The existence of adequate price competition is expected to support a determination of reasonableness. Price analysis techniques may be used to further validate price reasonableness. If adequate competition is not obtained or if price reasonableness cannot be determined using price analysis of Government obtained information, additional information in accordance with FAR 15.404 may be required to support the proposed prices, such as cost analysis. For purposes of the Gate 1 evaluation, the TPP will be utilized in the reasonableness evaluation. The Government intends to make a determination of reasonableness (or not reasonable) prior to completing Gate 1. The Government will further validate reasonableness of cost CLINs in Gate 2 when conducting the cost realism evaluation of the offerors that proceed to Gate 2.
- B. **Balance:** Offerors are cautioned against submitting an offer that contains unbalanced pricing. Unbalanced pricing exists when, despite an acceptable total evaluated cost/price, the cost/price of one or more contract line items or sub-line items (Basic and Option periods) is significantly overstated or understated as indicated by the application of cost/price analysis techniques. An overstated or understated CLIN cost/price may be due to (a) an illogical progression of rates or unit costs/prices between program years, (b) unit costs/prices that do not take into account quantity variations, or (c) the "front-loading" of CLINs; either of these situations would reflect an inaccurate "true" cost/price for that CLIN. Front-loading occurs when a larger than normal amount of costs are concentrated in an early contract period. The Government may consider any "front-loaded" CLIN as unbalanced, because acceptance of the proposal could result in advance payment. The Government will analyze offers to determine whether there are unbalanced, separately priced line items or sub-line items. Proposed unit costs/prices will be compared and evaluated to ensure that a logical progression exists as related to price and/or quantity changes within each offeror's response to the pricing structure in RFP Attachment 6, Excel Cost Model. Offers that are determined to be unbalanced may be rejected if the lack of balance poses an unacceptable risk to the Government.
- C. **Cost Realism:** The Government will perform cost realism analyses on the CPFF and CRNF CLINs proposed costs. Cost realism is the process of independently reviewing and evaluating specific elements of each offeror's proposed cost estimate to determine whether the estimated proposed cost elements are realistic for the work to be performed, reflect a clear understanding of the requirements, and are consistent with the unique methods of performance described in the offeror's technical proposal. The burden of proof for cost realism rests with the offeror. Accordingly, proposals will be evaluated to assess the likelihood that the proposed technical and managerial approach can successfully accomplish the offeror's SOW at the competitively proposed cost for cost type CLINs. Cost Realism may also be used in performance of technical risk assessments and responsibility determinations.

For cost-type CLINs, the result of cost realism analysis is the MPC. The MPC estimate is the Government estimate of the cost to acquire specified goods and/or services based on each offeror's proposed approach. The MPC is based upon an analysis of each offeror's unique proposal in accordance with FAR 15.404-1. The MPC may differ from the proposed cost and will reflect the Government's best estimate of the cost that is most likely to result from the offeror's proposal.

MPC will be used in making a determination of best value. The overall evaluated MPC includes the likely cost to the Government for all cost CLINs (Basic and Option periods).

- D. **Total Evaluated Price (TEP):** The TEP will be used for evaluation purposes only. It will be calculated by adding together the evaluated price/cost or most probable cost for the CLINs as outlined below in both the Basic and Option periods. Offerors are advised that the evaluation of options shall not obligate the Government to exercise such options. The sum of the evaluated prices for CLINs X001, X002, X003, X004, X005, X006, X007, X008, X009, X010, 0011, 1011, 2011, 3011, X012, X013, 0014, 2014, 3014, 0015, 1015, 2015, 0016, 1016, 3016, 2017, 3017, 0018, and 2018 will represent the TEP. The evaluated prices for each of the aforementioned CLINs will be calculated as explained in the following paragraphs.
- a) CLINs X007, 0008, 0009, X010, 0011, 0012, 0013, 0016, 0018, 1007, 1008, 1009, 1010, 1013, 1016, 2006, 2007, 2008, 2009, 2010, 2011, 2012, 2015, 2018, 3005, 3006, 3007, 3008, 3009, 3010, 3011, 3014, 3017, 4003, 4004, 4005, 4006, 4007, 4010, and 4013 (FFP): The evaluated CLIN price will be calculated by multiplying the proposed unit price times the respective quantity.
 - b) CLINs 0001, 0002, 0003, 0004, 0005, 0006, 0014, 1001, 1002, 1003, 1004, 1005, 1006, 1011, 1015, 2001, 2002, 2003, 2004, 2005, 2013, 2017, 3001, 3002, 3003, 3004, 3012, 3016, 4001, 4002, 4008, and 4012 (CPFF): The Government will multiply the proposed fee times the offeror's most probable cost (excluding most probable cost of money), yielding the evaluated total fee dollars. The Government will add the evaluated total fee dollars to the offeror's most probable cost and most probable cost of money, yielding the evaluated price. The Government will multiply the evaluated price times the respective quantity, yielding the evaluated CLIN price.
 - c) CLINs 0015, 1012, 2014, 3013, and 4009 (CRNF): The evaluated CLIN price will be the offeror's most probable cost added to the offeror's most probable cost of money.
 - d) The Government recognizes that non-transferable GFP may be used in the execution of this requirement. To counteract the disparity this may cause, the Government will utilize the quantities input by the offeror in their completed RFP Attachment 5, Government Furnished Property List, to calculate an additional value that may be added to the GFP-holder's TEP.

L-901. INSTRUCTIONS TO OFFERORS – FINAL DOWNSelect, CAT-F ENGINEERING AND MANUFACTURING DEVELOPMENT (EMD), PRODUCTION

Final Downselect, CAT-F EMD, Production will be based on an evaluation of data presented at Critical Design Review (CDR), plans, tradeoff studies, and other data delivered during System Design and the final report for the Critical Technology Demonstration (CTD), as well as plans for CAT-F fielding, Technical Data plans, and product familiarization plans. In addition, updated pricing for the program will be allowed to be submitted, but only downward adjustments will be accepted. In this context, the only planned submittal is the updated pricing volume for the CLINs identified below. Exercise of Option 1: Engineering and Manufacturing Development (EMD), Production will constitute the authority to proceed. An updated proposal or a letter stating there are no changes shall be submitted to the Government in the volume as set forth below:

<u>VOLUME</u>	<u>PAGE LIMITS</u>	<u>NUMBER OF COPIES*</u>	<u>DESCRIPTION</u>
I	N/A	1	Cost/Price

*Cost/Price and Schedule B proposal information shall be submitted in electronic form via email

In addition, proposals should comply with the following format:

1. Each page containing proprietary information should be so marked.
2. Each page should contain the following at the bottom of each sheet:

SOURCE SELECTION INFORMATION - See FAR 2.101 and 3.104

CUI

3. Submit updated proposal or letter stating no changes to Cost/Price to the following:

oya.harrison.1@us.af.mil and alexis.davis.13@us.af.mil.

*Note: If email addresses change the offerors will be notified.

4. Volume I is due 20 days after CDR, 4:30 PM, Eastern Standard Time.

B. Communications: Exchanges of source selection information between Government and offerors will be controlled by the PCO. Email may be used to transmit such information only if the email can be sent encrypted, and must include “Source Selection Information – See FAR 2.101 and 3.104” in the subject line of the email. Otherwise, source selection information may be transmitted via direct mailing. If an offeror’s computer system cannot support encryption technology or if the offeror chooses not to utilize encrypted email, the offeror shall send the PCO correspondence at the time that it submits the proposal stating that it accepts the risk of sending and receiving unencrypted electronic mail.

Factor I: Technical (No new data delivery)

The Technical Factor (which includes both the Technical Rating and the Technical Risk Rating) is comprised of the following subfactors:

- **Subfactor I:** O-Level Maturity
- **Subfactor II:** I-Level Maturity
- **Subfactor III:** Sustainment Plan
- **Subfactor IV:** Fielding Plan
- **Subfactor V:** Product Familiarization Plan
- **Subfactor VI:** MOSA Utilization
- **Subfactor VII:** Data Rights

Data required to support the Final Downselect, CAT-F Engineering and Manufacturing Development (EMD), Production will be generated by the contractor during the course of System Design of the basic contract effort. The Government may utilize all Contract Data Requirements List(s) (CDRLs) delivered in System Design beginning with contract award through the presentation material provided at CDR in conjunction with the Critical Technology

Demonstration (CTD) report generated by the Government following the CTD. This will comprise all data to be evaluated as described in M-901 Evaluation Basis for Award – Final Downselect, CAT-F Engineering and Manufacturing Development (EMD), Production. To assist the offeror in understanding the Government's approach, the following explanations are provided:

Subfactor I: O-Level Maturity

- The presentation material delivered and approved at CDR (CDRL A007). The Government will consider the CDR data a complete description of a viable CAT-F system architecture that meets all the requirements in the CDRL A001, System/Subsystem Specification (SSS) that the offeror has affirmed/proposed will be available and implemented into a production representative system by the start of Design Verification Test as described in SOW.
 - This includes a working prototype that will be able to perform the following Test Program Sets during system design reviews:
 - F-16 C/D
 - MIL-STD-1760 Pylon Test
 - LAU-129 full checkout (AIM-120/AIM-9X/AIM-9LM)
 - Internal Gun
 - BRU-57 Rack
 - F-15 E
 - UAI Guided bomb System Checkout at Pylon
 - UAI Guided bomb System Checkout at CFT
 - AIM-9X Missile System Checkout at LAU-128
 - Unknown Weapons System Checkout – CFT
 - A-10
 - Operational Check of Integrated Data and Weapons Management System (IDWMS)
 - Operational Check of Aim-9 Missile Control System
 - Maverick Weapon Station Checkout
 - 1760 Weapon Station Checkout
- The Critical Technology Demonstration (CTD) Report generated by the Government

Subfactor II: I-Level Maturity

- The presentation material delivered and approved at CDR (CDRL A/B/C/D/E007). The Government will consider the DR data a complete description of a viable CAT-F system architecture that meets all the requirements in the CDRL A001, System/Subsystem Specification (SSS) that the offeror has affirmed/proposed will be available and implemented into a production representative system by the start of Design Verification Test as described in SOW.
- The Critical Technology Demonstration (CTD) Report generated by the Government

Subfactor III: Sustainment Plan

- The plan set forth in the offeror's initial SOW submitted and evaluated in accordance with L-900 and M-900, and updated after contract award in accordance with CDRL A00H

Subfactor IV: Fielding Plan

- The plan set forth in the offeror's initial SOW submitted and evaluated in accordance with L-900 and M-900, and updated after contract award in accordance with CDRL A/B/C/D/E00F

Subfactor V: Product Familiarization Plan

- The plan set forth in the offeror's initial SOW submitted and evaluated in accordance with L-900 and M-900, and updated after contract award in accordance with CDRL A/B/C/D/E00G

Subfactor VI: MOSA Utilization

- The plan set forth in the offeror's initial SOW submitted and evaluated in accordance with L-900 and M-900 Subfactor III, and updated after contract award in accordance with CDRL A00J, A/B/C/D/E00N, A/B/C/D/E00P, and A00S

Subfactor VII: Data Rights

- The plan set forth in the offeror's initial SOW submitted and evaluated in accordance with L-900 and M-900 Subfactor IV, and updated after contract award in accordance with CDRL A010

Factor II: Cost/Price

The Government will release a request for updated pricing, due 20 days after CDR. Specific instructions for this submittal will be provided at that time.

M-901 EVALUATION BASIS FOR AWARD – FINAL DOWNSelect, CAT-F ENGINEERING AND MANUFACTURING DEVELOPMENT (EMD), PRODUCTION

I. Basis for Option Execution

This acquisition will utilize a Tradeoff Source Selection IAW FAR 15.3 as supplemented by the DoD Source Selection Procedures referenced in DFARS 215.3 and the DAFFARS Mandatory Procedures 5315.3 to make an integrated assessment for a best value award decision. The Government intends to exercise Option I for at least one (1) contractor as a result of this evaluation. Tradeoffs may be made between Technical which includes the Technical Rating and Technical Risk Rating, and Cost/Price as described in paragraph 2 and 3 below. Technical is considered significantly more important than cost/price. In using the best value approach, the Government seeks to exercise Option 1 for the offeror/contractor who demonstrates that it will best meet or exceed our requirements affordably in a way that will be advantageous to the Government. This may result in an award to a higher rated, higher priced offeror, where the decision is consistent with the evaluation factors and the Source Selection Authority (SSA) reasonably determines that the technical superiority and/or overall business approach of the higher priced offeror outweighs the cost difference. To arrive at a best value decision, the SSA will integrate the source selection team's evaluations of the factors and subfactors described in this provision. While the Government will strive for maximum objectivity, the tradeoff process, by its nature, is subjective; therefore, professional judgment is implicit throughout the selection process.

The Option exercised will be made to the responsible contractor whose proposal and submitted documentation conforms to all solicitation requirements, such as terms and conditions, representations and certifications, technical requirements, and also provides the best value to the Government based on the results of the evaluation described in paragraph 2 and 3 below.

II. Factors and Subfactors.

A detailed and complete analysis of each offeror's/contractor's delivered/provided information will be performed. The Government's evaluation will be based on the following factors and subfactors:

Factor I: Technical

- **Subfactor I:** O-Level Maturity
- **Subfactor II:** I-Level Maturity
- **Subfactor III:** Sustainment Plan
- **Subfactor IV:** Fielding Plan
- **Subfactor V:** Product Familiarization Plan
- **Subfactor VI:** MOSA Utilization
- **Subfactor VII:** Data Rights
 - Data Rights Plan
 - Data Availability Plan

Factor II: Cost/Price

Relative Importance: Technical, which includes the technical rating and technical risk rating is **significantly more important** than cost/price. However, Factor II, Cost/Price, is an important consideration in the best value award decision. Technology Subfactors I, II, and VII are the highest importance subfactors and are of equal importance, with the remaining subfactors of relatively equal importance. Technology Subfactors III-V, will be evaluated by technical acceptability/unacceptability and technical risk for each Subfactor. Technology Subfactors I-II and VI-VII, will be evaluated with a technical color/adjectival evaluation and technical risk for each Subfactor. The technical acceptability/unacceptability rating will not be a part of the tradeoff decision. However, the color/adjectival evaluation and technical risk rating portion of the technical factor will be a part of the tradeoff decision.

Data required to support the Final Downselect, CAT-F EMD, Production will be generated by the contractor during the course of System Design of the basic contract effort. The Government may utilize all Contract Data

Requirements List(s) (CDRLs) delivered in System Design beginning with contract award through the presentation material provided at DR in conjunction with the Critical Technology Demonstration (CTD) report generated by the Government following the CTD. This will comprise all data to be evaluated as described in M-901 Evaluation Basis for Award – Final Downselect, CAT-F EMD, Production. To assist the offeror in understanding the Government’s approach, the following explanations are provided:

Subfactor I: O-Level Maturity

This factor will be evaluated on a color/adjectival basis. This factor is met when the offeror has provided an acceptable system design for the operational level tester. This design will consist of documentation such as (but not limited to) charts, diagrams, figures, graphs, and supporting models, as well as a working prototype that will be able to perform the following Test Program Sets during system design reviews:

- F-16 C/D
 - MIL-STD-1760 Pylon Test
 - LAU-129 full checkout (AIM-120/AIM-9X/AIM-9LM)
 - Internal Gun
 - BRU-57 Rack
- F-15 E
 - UAI Guided bomb System Checkout at Pylon
 - UAI Guided bomb System Checkout at CFT
 - AIM-9X Missile System Checkout at LAU-128
 - Unknown Weapons System Checkout – CFT
- A-10
 - Operational Check of Integrated Data and Weapons Management System (IDWMS)
 - Operational Check of Aim-9 Missile Control System
 - Maverick Weapon Station Checkout
 - 1760 Weapon Station Checkout

This design shall have incorporated all aspects that the offeror presented in the SOW.

Subfactor II: I-Level Maturity

This factor will be evaluated on a color/adjectival basis. This factor is met when the offeror has provided an acceptable system design for the intermediate level tester. This design will consist of documentation such as (but not limited to) charts, diagrams, figures, graphs, and supporting models. This design shall have incorporated all aspects that the offeror presented in the SOW.

Subfactor III: Sustainment Plan

This factor will be evaluated on an acceptable/unacceptable basis. This factor is met when the offeror submits a detailed approach or method that reduces impact on supply chain and mitigates risk within the CAT-F system deployment. This evaluation will assess the proposed approach that encompasses characteristics aligned with TDP, Fielding, and system familiarization while ensuring no adverse effects on the program master schedule. The plan will be from the initial SOW submitted and evaluated in accordance with L-900 and M-900, and updated after contract award in accordance with CDRL A00H.

Subfactor IV: Fielding Plan

This factor will be evaluated on an acceptable/unacceptable basis. This factor is met when the offeror has provided an acceptable tester fielding plan for both O-level and I-level testers for each aircraft supported, and their plan to mitigate schedule delays. This evaluation will be based on length of projected delay (if any). The plan will be from

the initial SOW submitted and evaluated in accordance with L-900 and M-900, and updated after contract award in accordance with CDRL A/B/C/D/E00F.

Subfactor V: Product Familiarization Plan

This factor will be evaluated on an acceptable/unacceptable basis. This factor is met when the offeror describes in detail its plan for system familiarization that will accommodate multiple MDSs, TPSs, and updates. This evaluation will be based on the frequency of familiarization provided (how many times), whether familiarization is offered after system changes, and coordination in conjunction with A/C availability/downtime. The plan will be from the initial SOW submitted and evaluated in accordance with L-900 and M-900, and updated after contract award in accordance with CDRL A/B/C/D/E00G.

Subfactor VI: MOSA Utilization

This factor will be evaluated on a color/adjectival basis. This factor is met when the offeror provides their modular open system architecture approach that incorporates hardware and software modular open system architecture design requirements, as documented in the Offeror's Open Systems Management Plan (OSMP), to demonstrate the offeror's MOSA approach will meet or exceed the RFP requirements. The plan will be from the initial SOW submitted and evaluated in accordance with L-900 and M-900 Subfactor III, and updated after contract award in accordance with CDRL A00J, A/B/C/D/E00N, A/B/C/D/E00P, and A00S.

Subfactor VII: Data Rights

This factor will be evaluated on a color/adjectival basis. This factor is met when the offeror has provided a proposal to offer the rights in technical data (TD), computer software (CS), computer software documentation (CSD), and inventions/patents to the Government to ensure unimpeded, innovative, and cost effective production, operation, maintenance, and upgrade of the CAT-F throughout its life cycle; to allow for open and competitive procurement of CAT-F enhancements; and to permit the transfer of the CAT-F non-proprietary object code and source code to other contractors for use on other systems or platforms. The plan will be from the initial SOW submitted and evaluated in accordance with L-900 and M-900 Subfactor IV, and updated after contract award in accordance with CDRL A010.

Relative Importance: Technical, which includes the technical rating and technical risk rating is **significantly more important** than cost/price. However, Factor II, Cost/Price, is an important consideration in the best value award decision. Technology Subfactors I, II, and VII are the highest importance subfactors and are of equal importance, with the remaining subfactors of relatively equal importance. Technology Subfactors I-VII, include both technical acceptability/unacceptability or color/adjectival evaluation, and technical risk. The technical acceptability/unacceptability rating will not be a part of the tradeoff decision. However, the color/adjectival evaluation and technical risk rating portion of the technical factor will be a part of the tradeoff decision.

Technical Rating: The technical acceptable/unacceptable rating for subfactors III-V reflects the evaluation of the acceptability of the offeror's technical approach for meeting the Government's requirement. The offeror's proposal shall be evaluated to determine whether the proposal is acceptable or unacceptable, using the ratings and descriptions outlined in the table below. The technical evaluation will also consider risk in determining acceptability or unacceptability. Risk pertains to the potential for unsuccessful contract performance. Risk will not receive a separate rating; rather, it will be inherent within the subfactor ratings. One technical rating will be assigned to each technical subfactor. In order to be considered awardable, there must be an "acceptable" rating in every subfactor.

Technical Acceptable/Unacceptable Ratings:

TECHNICAL ACCEPTABLE/UNACCEPTABLE RATINGS	
Rating	Description
Acceptable	Proposal meets the requirements of the solicitation
Unacceptable	Proposal does not meet the requirements of the solicitation.

The technical color/adjectival rating for subfactors I, II, VI, and VII evaluates the quality of the offeror's technical solution to meet the Governments requirements. Each subfactor identified above will receive one of the color/adjectival ratings described in the DoD Source Selection Procedures excerpted below. The color/ adjectival

ratings depict how well the offeror's proposal meets each subfactors requirement. Subfactor ratings shall not be rolled up into an overall color/ adjectival rating for the Technical factor.

Technical Color/Adjectival Ratings:

TECHNICAL COLOR/ADJECTIVAL RATINGS		
Color	Rating	Description
BLUE	Outstanding	Proposal demonstrates an exceptional approach and understanding of the requirements, contains multiple strengths and/or at least one significant strength
PURPLE	Good	Proposal demonstrates a thorough approach and understanding of the requirements and contains at least one strength or significant strength.
GREEN	Acceptable	Proposal demonstrates an adequate approach and understanding of the requirements.
YELLOW	Marginal	Proposal has not demonstrated an adequate approach and understanding of the requirements.
RED	Unacceptable	Proposal does not meet requirements of the solicitation and, thus, contains one or more deficiencies and is un-awardable

Technical Risk Rating: Technical risk, which is manifested by the identification of weaknesses, assesses the degree to which an offeror's proposed approach for the requirements of the solicitation may cause disruption of schedule, increased costs, degradation of performance, the need for increased government oversight, and/or the likelihood of unsuccessful contract performance. The evaluation shall address the Source Selection Team's identification of any weaknesses and/or significant weaknesses, as well as the offeror's identified risks and proposed mitigation (if applicable) and document why that is or is not manageable. Each technical subfactor (I-VII) will receive one of the Technical Risk ratings described in the DoD Source Selection Procedures, excerpted below.

Technical Risk Ratings:

Adjectival Rating	Description
Low	Proposal may contain weakness/weaknesses which have low potential to cause disruption of schedule, increased cost, or degradation of performance. Normal contractor emphasis and normal Government monitoring will likely be able to overcome any difficulties.
Moderate	Proposal contains a significant weakness or combination of weaknesses which may have a moderate potential to cause disruption of schedule, increased cost, or degradation of performance. Special contractor emphasis and close Government monitoring will likely be able to overcome any difficulties.
High	Proposal contains a significant weakness or combination of weaknesses which is likely to have high potential to cause significant disruption of schedule, increased cost, or degradation of performance. Special contractor emphasis and close Government monitoring will unlikely be able to overcome any difficulties.
Unacceptable	Proposal contains a deficiency or combination of significant weaknesses that causes an unacceptable level of risk of unsuccessful performance.

Factor II: Cost/Price: During the Downselect, downward-only adjustments can be made to the initial Final Proposal Revision (FPR) prices for Options I – IV. If downward adjustments are made, the government will analyze the final CLIN prices and Total Evaluated Price (TEP) for reasonableness, balance, and realism (for cost type CLINs). The government will also calculate a new Most Probable Cost (MPC) for each offeror pertaining to applicable cost type CLINs.

1. Reasonableness

The existence of adequate price competition is expected to support a determination of reasonableness. Price analysis techniques may be used to further validate price reasonableness. All CLINs will be evaluated for reasonableness by comparison of the competitively proposed costs and prices. In the event that the Contracting Officer determines competition was not adequate, proposals will be evaluated for reasonableness using one or more techniques described in FAR 15.404 including but not limited to cost analysis.

2. Cost Realism

Cost realism analysis will be performed on CPFF and CRNF CLINs. Cost realism is the process of independently reviewing and evaluating specific elements of each Offeror's proposed cost estimate to determine whether the estimated proposed cost elements are realistic for the work to be performed; reflect a clear understanding of the requirements; and are consistent with the unique methods of performance described in the Offeror's technical proposal. The burden of proof for cost realism rests with the Offeror. Accordingly, proposals will be evaluated to assess the likelihood that the proposed technical and management approach can successfully accomplish the offeror's SOW at the competitively proposed cost and fee for cost type CLINs.

For cost type CLINs, the result of cost realism analysis is the MPC. The MPC estimate is the government estimate of the cost to acquire specified goods and/or services based on each offeror's proposed approach. The MPC is based upon an analysis of each offeror's unique proposal in accordance with FAR 15.404-1. The MPC may differ from the proposed cost and will reflect the Government's best estimate of the cost that is most likely to result from the Offeror's proposal. MPC will be used to determine the best value. The overall evaluated MPC includes the likely cost to the government for all option CLINs (plus any additional costs).

3. Balance

Offerors are cautioned against submitting an offer that contains unbalanced pricing. Unbalanced pricing exists when, despite an acceptable total evaluated probable cost/price, the cost/price of one or more contract line items or proposed hourly rates, including the Basic and Options, is significantly over or understated as indicated by the application of proposal analysis techniques. The Government will analyze offers to determine whether there are unbalanced separately priced line items or sub-line items or proposed hourly rates for the Basic and Options. Prices/rates submitted will be compared and evaluated to assure that a logical progression exists as related to prices/rates within each Offeror's response to the pricing structure arrangement in Schedule B. Offers that are determined to be unbalanced may be rejected if the lack of balance poses an unacceptable risk to the Government.

4. Total Evaluated Price (TEP)

The TEP will be used for evaluation purposes only. It will be calculated by adding together the evaluated prices of all the CLINs as outlined below in both the Basic and Option periods. Offerors are advised that the evaluation of options shall not obligate the Government to exercise such options.

The Total Evaluated Price (TEP) will be the sum of the evaluated prices for CLINs X001, X002, X003, X004, X005, X006, X007, X008, X009, X010, 0011, 1011, 2011, 3011, X012, X013, 0014, 2014, 3014, 0015, 1015, 2015, 0016, 1016, 3016, 2017, 3017, 0018, and 2018. The evaluated prices for each of the aforementioned CLINs will be calculated as explained in the following paragraphs.

- A. CLINs X007, 0008, 0009, X010, 0011, 0012, 0013, 0016, 0018, 1007, 1008, 1009, 1010, 1013, 1016, 2006, 2007, 2008, 2009, 2010, 2011, 2012, 2015, 2018, 3005, 3006, 3007, 3008, 3009, 3010, 3011, 3014, 3017, 4003, 4004, 4005, 4006, 4007, 4010, and 4013 (FFP): The evaluated CLIN price will be calculated by multiplying the proposed unit price times the respective quantity.
- B. CLINs 0001, 0002, 0003, 0004, 0005, 0006, 0014, 1001, 1002, 1003, 1004, 1005, 1006, 1011, 1015, 2001, 2002, 2003, 2004, 2005, 2013, 2017, 3001, 3002, 3003, 3004, 3012, 3016, 4001, 4002, 4008, and 4012 (CPFF): The Government will multiply the proposed fee times the offeror's most probable cost (excluding most probable cost of money), yielding the evaluated total fee dollars. The Government will add the evaluated total fee dollars to the offeror's most probable cost and most probable cost of money, yielding the evaluated price. The Government will multiply the evaluated price times the respective quantity, yielding the evaluated CLIN price.

- C. CLINs 0015, 1012, 2014, 3013, and 4009 (CRNF): The evaluated CLIN price will be the offeror's most probable cost added to the offeror's most probable cost of money.
- D. The Government recognizes that non-transferable GFP may be used in the execution of this requirement. To counteract the disparity this may cause, the Government will utilize the quantities input by the offeror in their completed RFP Attachment 5, Government Furnished Property List, to calculate an additional value that may be added to the GFP-holder's TEP.